9 Natalia pays £13 995 for a car.
Lauren pays £14 495 for a car.

Assume that

the rate of depreciation for Natalia's car is 12% per annum
and the rate of depreciation for Lauren's car is 13% per annum.

(a) Work out whose car will have the greater value at the end of 3 years.
You must show all your working.

(4)

The rate of depreciation assumed for Natalia's car was too low.

(b) How does this affect the value of her car at the end of 3 years?

.....

.....

(1)

(Total for Question 9 is 5 marks)